

THE CASE

2015–20

Adani Group enters the renewable energy sector in 2015; sets a target of generating 40 GW of power by 2030

2019–20

SECI issues tender for solar projects tied to manufacturing renewable energy components; Adani Green and Azure jointly awarded the projects

2020–21

States initially refuse to sign power purchase agreements; Adani and Sagar allegedly intervene personally and bribes paid to state officials*

Sept 2021

Adani Green issues \$750 million in corporate bonds; offers documents that allegedly falsely claim adherence to anti-corruption principles

2022–23

After securing PPAs, Adani Green allegedly demands Azure's share of bribe payments; Azure allegedly cedes portions of projects to Adani Green

*The group has denied this vehemently
SOURCE DOJ, US SEC

Hindenburg Research accused the firm of stock manipulation and accounting fraud.

The group has termed these charges as baseless. Senior advocate Mukul Rohatgi said in a media briefing that Gautam Adani and his nephew Sagar were personally not named in the charges of bribery. He said this was his personal opinion. Rohatgi added, "There is no mention of who was bribed, how they were bribed, or any direct involvement by Adani officials."

After the US investigations came to light, Kenya cancelled a \$700-million energy deal, Bangladesh's interim government has sought a review of power agreements involving the group, and Adani Green has scrapped a \$600-million bond sale twice. The US-based International Development Finance Corporation is reportedly conducting due diligence on a \$553-million loan for Adani's Sri Lankan port terminal project.

There has been trouble in terms of its partners, too. French energy major TotalEnergies announced on November 25 that it will not make any new investments in the Adani Group till the charges are clarified. TotalEnergies purchased a 19.75% stake in Adani Green Energy in 2021. The Adani Group has informed exchanges that there were no discussions on new investments. The group's major shareholder, GQG Partners, has said it does not expect any 'material' impact following the indictment.

These setbacks threaten the group's global expansion. "The implications for the Adani Group are huge," says Shriram Subramanian, Founder and Managing Director of InGovern Research Services, a proxy advisory firm. In the interim, the cost of borrowing will likely go up, and some long-only funds will stay away from investing in group companies, he adds.

A confirmed violation would limit the group's ability to access international funding. But there is a possible settlement option under US

law. "Adani may pursue a settlement to cap reputational and financial losses," believes Narinder Wadhwa, Managing Director of SKI Capital, a financial services firm.

The indictment came at a critical juncture for the group as it embarks on an ambitious decade with plans to invest over \$100 billion in energy transition projects.

Interestingly, the group has a higher reliance on foreign debt than domestic debt. About 54% of the group's debt is from global banks and global capital markets via bonds, and 41% is from domestic sources, per a group presentation. In light of the allegations, Adani Enterprises has withdrawn a proposal to issue US dollar-denominated bonds.

Global rating agency S&P has also said that the US indictment could affect investor confidence in Adani Group entities, thereby potentially impairing their funding access and increasing their funding costs.

Dispelling fears of the impact on the group's ability to raise funds abroad, it said in a press release that it is in a comfortable position. "The liquidity position across our portfolio companies remains strong with sufficient liquidity to cover all debt obligations, including refinancing for the next 12 months plus one day," it said.

Sources reveal that the Adani Group's loans from global banks typically have an average maturity of four to five years, compared to bonds with longer maturities exceeding eight years. This suggests that refinancing bank loans could become a challenge. So far, group companies have enjoyed a rating of A to AAA with a stable and positive outlook. Post the indictment, S&P has revised to negative the outlook on Adani Electricity Mumbai and Adani Ports and SEZ. Moody's and Fitch followed suit, downgrading the outlook for some group firms to negative.

There seems to be little respite in sight for the group. **BT**

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